Paytm's home screen: kill the clutter on the pay path

Internal memo | From: Pranav Thatavarti, PM, Consumer app | To: Consumer leadership | 20 October 2026

Portfolio exercise. I don't work at Paytm. Public facts carry a source number; anything internal or inferred is my estimate, marked (est.).

> **My call: kill and replace.** Kill the launch ad, the ad banner beside the scanner and the same-for-everyone credit block. Replace them with a scan-first home that ranks shortcuts by what each person actually does. Credit and offers move one tap away. I'd prove it on a holdout before the full kill.

Context

Paytm is a payments app that makes its best money elsewhere. In FY26 we earned ₹8,437 Cr: ₹4,646 Cr from payments, ₹2,594 Cr from distributing financial services (up 52%) and ₹952 Cr from marketing services [1]. Our own release says it plainly: payments are "to acquire and to retain", credit is "to monetise, at scale" [1]. That is why home sells Postpaid, cards and loans: it's our best shelf.

On UPI we're a distant third: 8.03% of volume in August 2026 against PhonePe's 45.64% and Google Pay's 32.26% [3], with 8.0 Cr monthly transacting users [2]. Our value share (6.87%) is below our volume share [3], so our users skew to small payments, most likely the scan at a shop counter (est.).

It's live, but it isn't the old 50-tile grid. We shipped a "cleaner design" in November 2025 [4]. Today's home (v10.85.5, 15 Oct 2026) leads with a UPI row, Scan & Pay first, then Recharge & Bills, then a "Your Money" block selling Postpaid, a credit card, gold and trading [5]. Recent reviewers also report a full-screen ad before the app opens and an ad banner beside the scanner [6]. That leftover is what I want to kill.

What we bet on vs what the data shows

What we bet on	What the data shows
Every user should see credit on home. Exposure builds the funnel.	The funnel is real: financial services revenue grew 52% [1]. But it serves a narrow slice: 7.6 lakh key financial services customers against 8.0 Cr MTU [2]. Definitions differ (merchants in, Postpaid out), yet the gap is about 100x (est.). And: "I repeatedly get loan offers and my CIBIL score is also good, but I still don't get the loan" (1★, 3 Oct) [6].
Ads around the pay moment are free money.	Marketing services fell 18% in FY26 [1] and slipped 3% to ₹239 Cr in Q1 FY27 [2]. The cost lands on users: "the ads banner is placed at the bottom where the QR Scanner is placed… it accidentally touches the ads banner" (1★, 26 Aug) [6]. Or a "full screen (skipable) ad before app starts" (1★, 8 Oct) [6].
Habit forgives a heavy app.	Not always. Of 2,783 recent reviews with 8+ words, 14% mention slow, lag, crash or login and 4% ads, clutter or UI (my keyword pass) [6]. Top-voted this month: "It takes longer to load and scan than other apps" (2★, 16 Oct, 45 likes) [6]. Google Pay's home is search, shortcuts led by Scan any QR code, then recent people [7]. PhonePe looks more like us [8].

To be fair: the app holds a 4.7 rating [5] and clutter is not the loudest complaint by count. The house isn't on fire. But the pay path is where we lose small moments, and small moments are the habit.

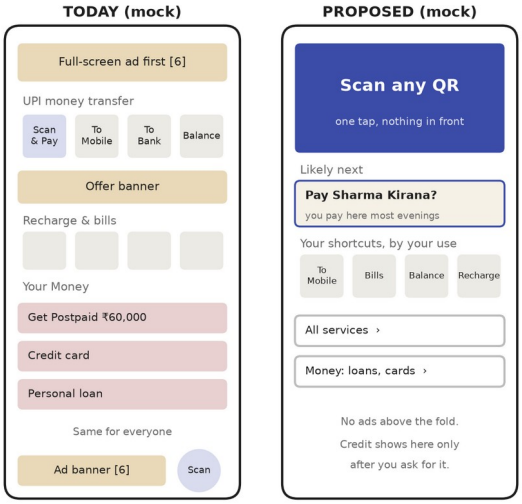
Options considered

Option	What it means	Cost and risk
Kill	Strip home to pay only. Remove the Your Money block, banners and launch ad.	Biggest hit to the credit funnel and to partners who pay for placement. Too blunt.
Narrow	Keep the layout. Drop only the launch ad and the banner by the scanner.	Small ad revenue loss (est.). Fixes the worst annoyance, but credit still goes to people who never asked.
Keep	Rely on the Nov 2025 cleanup [4].	Free today. Ad and speed complaints keep compounding just as pay volume starts to earn.
Kill and replace (my pick)	Kill the launch ad, scanner banner and fixed credit block. Scan-first, ranked shortcuts, one "likely next" slot. Credit reaches home only after intent.	A quarter of app and data science time (est.). Some leads lost from casual exposure (est.). Partner pushback. A bad model could hide what someone needs.

Recommendation

Kill and replace. The credit business works and I don't want to starve it. But showing a loan block to 8 Cr people a month to find a few lakh borrowers is the costliest way to find them. Intent is cheaper. Someone who checks their credit score, opens Postpaid or pays rent by card has raised a hand. Show them credit. Everyone else gets the fastest scan in India. Timing helps: from 15 October, merchant payments above ₹2,000 carry a 0.4% MDR capped at ₹300 [3], so a faster pay path now earns money directly.

What replaces it



- **Scan first.** The top third of home is one Scan any QR button. Nothing loads in front of it.
- **Ranked shortcuts.** Four to eight tiles ordered by the person's own last 90 days (est. window). New users get today's default set.
- **One "likely next" slot.** Repeat merchant, bill due, usual transfer. Version one is a frequency, recency and time-of-day score, not an LLM. It shows its reason and can be dismissed.
- **Everything else one tap away:** All services, plus a Money tab for loans, Postpaid, cards and gold. Users can pin tiles and reset.
- **What the model must not do:** put credit on home without an intent signal; read low balances or failed payments as a cue to sell credit; say "pre-approved" before a lender approves; rank a paid tile above a person's own use; ever hide Scan, balance or history.

Mock layouts, based on [5] and [6]. Names are made up.

Metrics

Metric	Target (est.)	Why it matters
Median time from app open to pay screen	−30% (est.)	The habit lives or dies here.
Scan-and-pay transactions per MTU per month	+3% (est.)	Share gains come from frequency.
Promo tap then back within 3 seconds	−80% (est.)	Proxy for mis-taps on the scanner banner.
Credit offers shown to people a lender declines	−50% (est.)	Stops the "useless offers" trust leak.
Guardrail: financial services revenue per user	Within −5% (est.)	If credit falls harder, the kill is wrong.

What would change my mind

- Credit revenue per user falls more than 5% and the Money tab doesn't win it back in eight weeks.
- Time-to-pay barely moves. Then the slowness is engineering, not layout, and the fix is app weight.
- Ranked homes shrink the number of services people use. Then I've killed discovery along with clutter.

Rollout and comms

Who	What we say	When and how
Users	"Your home shows what you use." Old layout available for 30 days.	One-time card, FAQ.
Lending partners, Postpaid	Placements move to the Money tab and intent slots. Weekly data.	Before the test.
Ad, mini-app partners	Home banners move to category pages. Make-goods for live deals.	Week −2, by AM.

How I'd test this before killing it

- Eight weeks, three arms: today's home, Narrow, Kill-and-replace. 2% of MTU per arm (est.), split by heavy vs light users and city tier.
- Primary: time-to-pay and pay frequency. Guardrails: credit and marketing revenue per user, payment success rate.
- Pre-registered bar: Replace wins if pay frequency rises 3%+ and credit revenue per user holds within −5% (est.). A 1% holdout runs six months.

If Replace loses on credit, I ship Narrow and keep the credit block. Then the shelf is worth what we charge for it.

Sources

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